

1949	7.76	6.94	5.64	1981	8.5	8.02	7.3
1950	7.29	6.52	5.1	1982	9.77	9.24	8.52
1951	6.97	6.25	4.76	1983	8.85	8.29	7.56
1952	6.89	6.11	4.35	1984	8.64	8.09	7.4
1953	6.59	5.93	4.29	1985	8.8	8.24	7.55
1954	6.84	6.24	4.67	1986	7.84	7.21	6.5
1955	5.59	5.02	3.45	1987	7.25	6.62	5.9
1956	5.03	4.56	3.2	1988 +	30 Years of Data Not Yet Available		
1957	5.18	4.76	3.5				

Note: SAFEMAXs are boxed. All MWRs below 4 percent are bold-faced.

Exhibit 5.15 expresses this information in a different way by identifying the amount of wealth remaining after thirty years in both nominal and real terms (retirement date wealth = \$100) when using a 4 percent withdrawal rate with a 50/50 asset allocation and all of the other standard assumptions. As I mentioned before, 1966 retirees got the SAFEMAX of 4.03 percent, and we can see that the real value of their wealth after thirty years is \$3.40. Since a real withdrawal of \$4.00 will be taken in year thirty-one, the 4 percent rule fails over a thirty-one-year horizon for the 1966 retiree.

On the other end of the spectrum is the 1982 retiree. In nominal terms, wealth would have grown to more than ten times its retirement date value, and even in real terms the value of wealth more than quadrupled over thirty years with a 4 percent withdrawal rate.

In the 58 percent of cases that real wealth grows after thirty years of spending with the 4 percent rule, this exhibit better clarifies the degree of this wealth growth. One could also calculate the current withdrawal rate after thirty years as the \$4.00 real spending divided by the remaining real wealth. The withdrawal rate is higher when wealth is less and lower when wealth is greater. When meeting a spending goal with the 4 percent rule, the withdrawal rate for the 1982 retiree after thirty years has fallen to 0.86 percent. On the other hand, for a 1966 retiree the withdrawal rate would rise to 100 percent for the next year beyond thirty as the last of the wealth is spent.